Chapter 4 VERIFICATION AND VALUATION OF FIXED ASSETS

ANDVXA

Learning Objectives

- To determine the meaning of verification and valuation of assets.
- To describe the procedure of verification and valuation of various fixed assets.
- To explain the procedure of verification and valuation of investments.

POINTS TO BE RECALL

RECAP

The following points are to be recalled before learning Verification and Valuation of Fixed Assets:

- Meaning and Definition of Internal Audit.
- Objectives of Internal Audit.
- Advantages and Disadvantages of Internal Audit.
- Difference between Internal Check and Internal Audit.
- Difference between Internal Control and Internal Audit.

4.1 Verification

4.1.1 Meaning

Verification means the act of assuring the correctness of value of assets and liabilities in the organization. It refers to the examination of proof of title and their existence or confirmation of assets and liabilities on the date of Balance Sheet. It usually indicates verification of assets of any organization, which can be done by examination of values, ownership, existence, possession of any assets and also ensures that the assets are free from any charge. In simple words, verification means, 'proving the truth or confirmation'.

4.1.2 Definition

- **Spicer and Pegler** defines Verification as, "An inquiry into the value, ownership and title, existence and possession and the presence of any charge on the asset".
- **J. R. Batliboi** defines it as, "The auditor must satisfy himself that assets really existed at the date of the Balance Sheet and were free from any charge and that they have been properly valued".

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